B – Establishing a Municipal Finance Corporation and a Public Bank

Shall the City amend the Charter to authorize the City to establish a municipal finance corporation and a public bank?

YES	◯
NO	◯

This measure requires 50%+1 affirmative votes to pass.

Digest by the Ballot Simplification Council

The Way It Is Now: A municipal finance corporation (MFC) is a government-owned non-profit corporation that makes loans but does not take deposits. A public bank is a government-owned non-profit corporation that both makes loans and takes deposits.

There is no local law authorizing the City to create a municipal finance corporation or a public bank.

The Proposal: Proposition B would amend the City Charter to authorize the City to establish a municipal finance corporation if the City has sufficient funding and resources. After three years of operation, the municipal finance corporation may become a public bank.

The MFC would make loans but would not take deposits. If the MFC becomes a public bank, the public bank would make loans and also take deposits.

The MFC and public bank would provide services to support:

- affordable housing development,
- affordable homeownership,
- small business development,
- environmental sustainability, and
- environmental justice.

These services would be available to individual City residents and to projects and businesses located in the City.

Under Proposition B, the MFC and public bank would each be governed by a board of directors. Each board would be appointed and overseen by its own oversight commission. The members of each oversight commission would be appointed by the Board of Supervisors, Mayor, Treasurer-Tax Collector, Controller, and City Attorney.

A "YES" Vote Means: If you vote "yes," you want to authorize the City to establish a municipal finance corporation and a public bank.

A "NO" Vote Means: If you vote "no," you do not want to authorize the City to establish a municipal finance corporation and a public bank.

Controller's Statement on "B"

City Controller Greg Wagner has issued the following statement on the fiscal impact of Proposition B:

Should the proposed Charter amendment be approved by the voters, in my opinion, it would not directly impact the cost of government as the Charter amendment does not require the City to create a Municipal Finance Corporation (MFC) that could transition into a Public Bank. However, if the City moves forward with establishing a MFC and subsequently a Public Bank, as authorized by the proposed Charter amendment, the costs would be significant, ranging from approximately $310 million to $460 million over an eight-year period, according to 2023 Reinvestment Working Group (RWG) estimates, which could be significantly higher or lower depending on interest rates and changing economic conditions.

The proposed Charter amendment sets up the governance framework for a new MFC and Public Bank. If the Charter amendment is approved, and the Treasurer-Tax Collector determines that adequate funding exists, the MFC and an MFC Oversight Commission may be established. In the

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
The full text begins on page 181. Some of the words used in the ballot digest are explained starting on page 62.

event the MFC becomes financially sustainable, which is not guaranteed, the MFC may request state and federal regulatory approval to transition to a Public Bank.

The funding required to set up an MFC could cost approximately $4 million annually for approximately one year or longer, depending on when the MFC is set up, excluding capitalization costs. These costs include the cost to hire staff, staff salaries, legal services, supporting professional services, technology procurement and administrative operations.

In 2022, the County Local Area Formation Commission convened the RWG to develop a business and governance plan to establish a non-depository lending corporation. According to a 2023 report of the RWG, costs to capitalize and fund the MFC could cost approximately $26 million in the first year and increase to $30 million annually by the third year for a total of $90 million for the first three years of the MFC. The RWG explored a variety of capitalization and funding levels including cumulative totals of $45 million to $242 million over the first three years. Capitalization and funding costs could be financed by City grants and forgivable loans which are unlikely to be repaid. The capitalization and funding costs are choices dependent on future decisions by the MFC Board of Directors and future policy and budget decisions by the Mayor and the Board of Supervisors. The costs associated with establishing an MFC may be significantly higher or lower than the 2023 RWG estimates.

In the event the MFC becomes financially sustainable and receives regulatory approval to operate as a depository bank, it may become a Public Bank. The cost to operate a Public Bank would be approximately $80 million in year 4, decreasing to approximately $30 to $40 million annually for a total of approximately $220 million over years four through eight. These costs include capital funds and operating costs, including staff salaries, office leases, technology, and administrative costs. The Public Bank may use its income to fund its operating costs if available, requiring less funding appropriated by the City.

Finally, the MFC and Public Bank would require an MFC Oversight Commission or Bank Oversight Commission which could cost between $550,000 to $600,000 annually for staff salaries, commissioner stipends, and operating costs. There is a high degree of uncertainty in the cost to government of establishing an MFC or Public Bank. There may be significant unforeseen costs to the City in the event the Public Bank is not financially sustainable.

The proposed Charter amendment gives a high degree of independence to the Oversight Commissions and the Board of Directors, such that the City would have limited control over the MFC's or Public Bank's financial outcomes and decisions on how funds would be used.

Note that the proposed amendment would change the duties of the Controller's Office, which has prepared this statement.

How "B" Got on the Ballot

On July 7, 2026, the Board of Supervisors voted 9 to 2 to place Proposition B on the ballot. The Supervisors voted as follows:

Yes: Chan, Chen, Dorsey, Fielder, Mahmood, Mandelman, Melgar, Sauter, Walton.

No: Sherrill, Wong.